

JCCP5412 JCCP5412

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Case Number: JCCP5412 Hearing Date: July 6, 2026 Dept: 1

Moving Party: Defendants Installed Building

Products, LLC and OJ Insulation, L.P. (Benesch, Friedlander, Coplan & Aronoff LLP)

Responding

Party: Plaintiff Ramon Ramirez Mora (Denis & Rasi, PC and Law Office of Robert W. Skripko, Jr., PC)

Ruling: Demurrer OVERRULED as to Fifth and Tenth Cause of Action and SUSTAINED without leave as to the Ninth Cause of Action.

This is a Judicial

Council Coordinated Proceeding (JCCP) consisting of two wage and hour actions:

one filed in Los Angeles County (Ramon Ramirez Mora v. Installed Building

Products et al., Case No. 24STCV32994) and one filed in Sonoma County

(Francisco Gomez Flores v. Installed Building Products, LLC et al., Case No.

24CV07594). Defendants Installed

Building Products, LLC and OJ Insulation, L.P. (Defendants) demur to the First

Amended Class Action Complaint (the FAC) in the Los Angeles action. Specifically, they contend that the Fifth

Cause of Action for Failure to Provide Cool-Down Recovery Periods and the Tenth

Cause of Action for Violation of Lab. Code § 206.5 are barred by res judicata,

and that the Ninth Cause of Action for Failure to Provide California Wage Theft

Prevention Act Notice lacks a private right of action. Plaintiff Ramon Ramirez Mora (Plaintiff)

opposes.

LEGAL STANDARDS

A demurrer tests the sufficiency of a complaint as a matter of law and raises only questions of law. (Code Civ. Proc. § 589; Schmidt v. Foundation Health (1995) 35 Cal.App.4th 1702, 1706.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or by proper judicial notice. (Code Civ. Proc. § 430.30(a).) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (SKF Farms v. Superior Court (1984) 153 Cal. App. 3d 902, 905.) Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Ibid.) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

“On demurrer the allegations of the complaint are assumed to be true. A demurrer is simply not the appropriate procedure for determining the truth of disputed facts.” (Ramsden v. Western Union (1977) 71 Cal.App.3d 873, 879.) “Less particularity is required when it appears that defendant has superior knowledge of the facts, so long as the pleading gives notice of the issues sufficient to enable preparation of a defense.” (Okun v. Superior Court (1981) 29 Cal.3d 442, 458.) “If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer.” (Quelimane Co. v. Stewart Title Guaranty Co. (1998) 19 Cal.4th 26, 38.) “[A] plaintiff is required only to set forth the essential facts of his case with reasonable precision and with particularity sufficient to acquaint a defendant with the nature, source and extent of his cause of action.” (Youngman v. Nevada Irrigation District (1969) 70 Cal.2d 240, 245 (Youngman); see also Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange (2005) 132 Cal.App.4th 1076, 1099 (Doheny Park Terrace).)

REQUEST FOR JUDICIAL NOTICE

Defendants

request judicial notice of the following documents from Calderon v. OJ Insulation, San Diego Superior Court Case No. 37-2021-00035844-CU-OE-CTL (Calderon):

A. Second

Amended Complaint filed on March 6, 2023 (Exhibit B to the Joint Stipulation to Consolidated Cases signed by judge and ordered on March 6, 2023);

B. Final

Approval Order & Judgment dated November 3, 2023; and

C. Declaration

of Jennifer Mills for Rust Consulting, Inc. dated October 11, 2023.

These are court

records and subject to judicial notice under Evid. Code § 452(d). The Court cannot take judicial notice of the truth of facts contained in the declaration, although the Court can take

judicial notice that those facts were asserted in the record when the Court

issued its order. (See *Sosinsky v.*

Grant (1992) 6 Cal.App.4th 1548, 1565 ["While we have no quarrel

with the fact that a judge, after hearing a factual dispute between

litigants A and B, may choose to believe A, and make a finding of fact in A's

favor, and while we have no quarrel that at some subsequent time it may be proper

to take judicial notice that the judge did in fact make that particular

finding in favor of A, the taking of judicial notice that the

judge made a particular factual finding is a far cry from the

taking of judicial notice that the 'facts' found by the judge must necessarily

be the true facts, i.e. must necessarily be 'the truth.'"])

DISCUSSION

I.

RES JUDICATA

The doctrine of

res judicata precludes relitigation of certain matters which have been resolved

in a prior proceeding under certain circumstances. (*Brinton v. Bankers Pension Services, Inc.* (1999)

76 Cal.App.4th 550, 556.) "Res judicata,

or claim preclusion, prevents relitigation of the same cause of action in a

second suit between the same parties or parties in privity with them." (*Mycogen Corp. v. Monsanto Co.* (2002)

28 Cal.4th 888, 896.) "Collateral

estoppel, or issue preclusion, precludes relitigation of issues argued and

decided in prior proceedings." (*Ibid.*)

The decision in a prior proceeding is res judicata when it is final and on the merits, the successor action is based on the same cause of action as the former one, and the parties to the former proceeding are the parties in the successor action or are in privity with them. (Zevnik v. Superior Court (2008) 159 Cal.App.4th 76, 82-83; Levy v. Cohen (1977) 19 Cal.3d 165, 171.)

Res judicata also applies to claims that could have been raised in the prior action, so long as they were “within the scope of the action, related to the subject-matter and relevant to the issues, so that it could have been raised...despite the fact that it was not in fact expressly pleaded or otherwise urged.” (Bucur v. Ahmad (2016) 244 Cal.App.4th 175, 185.) A prior final judgment on the merits not only settles issues that were not actually litigated but also every issue that might have been raised and litigated in the first action. (Lincoln Property Co., N.C., Inc. v. The Travelers Indemnity Co. (2006) 137 Cal.App.4th 905, 912-13.) It also precludes litigation of the same cause of action on a different legal theory or for different relief. (Ibid.)

It is undisputed that the Calderon judgment is final and on the merits and that Plaintiff, as a member of the Calderon class, is in privity with the Calderon plaintiff. The issue here is whether the causes of action here are the same as in the prior one or could have been raised and litigated in the prior one.

When analyzing the scope of a class action settlement, Amaro v. Anaheim Arena Management, LLC (2021) 69 Cal.App.5th 521 (Amaro) is highly instructive. Amaro provides that a class action settlement may not include claims outside the factual allegations of the complaint. (Id. at 537.) As the Court of Appeal noted:

In a class action settlement, “[a] clause providing for the release of claims ... may refer to all claims, both potential and actual, that may have been raised in the pending action with respect to the matter in controversy.” [Citation.] “[A] court may release not only those claims alleged in the complaint and before the court, but also claims which “could have been alleged by reason of or in connection

with any matter or fact set forth or referred to in” the complaint.” [Citation.]

While these statements do not expressly address the limits of a class release, they contain an implicit boundary: a court cannot release claims that are outside the scope of the allegations of the complaint. ...

Here, the release extends past this

boundary. The allegations in Amaro's complaint pertain to AAM's timekeeping system, unpaid time spent waiting in line, missed meal and rest periods, and reimbursement for work-related expenses. By extending to claims that “in any way relat[e]” to these allegations, the release ensnares claims outside the scope of Amaro's complaint. To illustrate, suppose a class member filed a lawsuit alleging AAM retaliated against her for reporting to a government agency that AAM was breaking the Labor Code by failing to provide employees meal and rest breaks during the release period. [Citations.] This retaliation claim is not based on the same factual predicate as Amaro's complaint. The crux of the claim – retaliation – is completely absent from the pleading. Nor can it be inferred from the complaint's allegations. But since this retaliation claim tangentially relates in some way to Amaro's meal and rest period allegations, it appears to have been released by the settlement.

A class action settlement must be

approved by the court to protect ““class members ... whose rights may not have been given due regard by the negotiating parties.”” [Citation.] Consequently, courts must remain vigilant and ensure that class releases do not extend to claims that are beyond the scope of the allegations in the complaint. Releases must be appropriately tethered to the complaint's factual allegations. For example, the portion of the release covering “potential claims reasonably arising out of ... the same set of operative facts” pleaded in the complaint is sufficiently tailored. The retaliation claim identified above does not “reasonably aris[e]” from the facts pleaded in the complaint. Similarly, the release would have been acceptable had it been limited to claims “reasonably related” to the allegations in the complaint rather than “in any way relat[ed].” Requiring a reasonable connection prevents the release from extending to claims that are only remotely related to the allegations in the complaint.

(Id. at

537-538.) The Court applies this

standard in evaluating Defendant's contention that Plaintiff's claims here are barred by the prior settlement.

The Court will
address the claim for recovery period premiums first.

a. Fifth

Cause of Action for Recovery Period Premiums

The prior Calderon

action included claims for meal and rest break violations. (See RJN, Ex. A, sub-exhibit B [Second Amended Complaint], ¶¶ 51-58.) These violations arose from Lab. Code § 226.7, which provides that “[a]n employer shall not require an employee to work during a meal or rest or recovery period” and provides “one additional hour of pay at the employees’ regular rate of compensation for each workday that the meal or rest or recovery period is not provided.” (See RJN, Ex. A, sub-exhibit B [Second Amended Complaint], ¶¶ 51-58; Lab. Code § 226.7(b), (c).)

Defendants argue

that the meal and rest period premiums claim in Calderon and the recovery period claims here arise from the same primary right, and are therefore barred, citing *Shine v. Williams-Sonoma, Inc.* (2018) 23 Cal.App.5th 1070 (Shine). In Shine, there had been a prior wage and hour class action (the Morales action) alleging unpaid overtime, minimum, and final wages, meal and rest period premiums, and derivative claims, as well as PAGA claims. (Id. at 1074.) The prior action concluded by settlement on a class basis, and the Shine plaintiff in the later lawsuit was a class member in the first action, did not object, and received a share of the settlement. (Ibid.) The Shine plaintiff later brought a putative class action for reporting-time pay, which are wages for an employee who is required to report to work but then not put to work for more than half their usual day, in which case the employee is entitled to half their ordinary day’s pay at their regular rate. (Id. at 1074-1075.) No claim for reporting-time pay had been alleged in the prior action. (Id. at 1077.) Nonetheless, the Court of Appeal held that the reporting-time pay claim was barred by res judicata, noting that “[b]ecause reporting-time pay is a form of wages, a claim for reporting-time pay could have been raised in the Morales action” and “the same primary right, to seek payment of wages due, was involved in both Morales and [the Shine] case.” (Ibid.)

Defendants contend

that the recovery period claim in this action arises from the same primary right as in Calderon. Defendants' phrasing of the issue is somewhat imprecise, as the issue is not whether Calderon involved "wages" generally, but specifically the payment of premiums under Lab. Code § 226.7, which it did. (See RJN, Ex. A, sub-exhibit B [Second Amended Complaint], ¶¶ 51-58.) This is important because Plaintiff correctly responds that "[t]he fact that a Labor Code violation may result in wages, premiums, penalties, or restitution does not mean every such violation implicates one generic primary right called 'wages due.'" The parties and the Court must be very clear about what is at issue in the Fifth Cause of Action: the payment of premiums for missed recovery periods required by law, which become due and payable by operation of Lab. Code § 226.7. This same statutory right was indeed asserted in Calderon.

However, all class-action settlements are implicitly limited to claims arising from the facts alleged in the operative complaint, as held in Amaro, supra, 69 Cal.App.5th at 537. Plaintiff contends that the release in Calderon was therefore limited to the facts actually alleged in the Calderon complaint, and since no facts concerning recovery periods were alleged in Calderon, res judicata cannot apply to the recovery period claim here. (See, generally, RJN, Ex. A, sub-exhibit B [Second Amended Complaint].) As illustrated in Villacres v. ABM Industries Inc. (2010) 189 Cal.App.4th 562 (Villacres), upon which Amaro relies, the ability of a class settlement to bar subsequent claims depends on the claims released in settlement because, if claims were not released in settlement, they are not part of a judgment entered on the settlement. In Villacres, the pertinent settlement provided:

"[T]he Class Members hereby ... fully release ... the [employer] from any and all claims, debts, liabilities, demands, obligations, ... damages, action or causes of action ... which have been or could have been asserted against the [Employer] arising out of or related to all claims for wages, overtime pay, pay for all time allegedly worked but not compensated, and all other claims of any kind for wages, penalties, interests, costs and attorneys' fees arising from the alleged violation of any provision of ... California law and/or Federal law which [were] or could have been raised as part of the Plaintiffs' claims."

(Id. at 585-586, emphasis in original.) This release included claims not expressly enumerated in the release, meaning that it released PAGA claims even though there was no PAGA cause of action in that case. (Id. at 587.) In holding that the settlement effectively “constitute[d] a standard general release, barring any claims based on conduct occurring before its effective date[.]” the Court of Appeal quoted what it considered relevant language from *In re Corrugated Container Antitrust Litigation*:

“Plaintiffs had an opportunity to opt out of the class and litigate their state claims in state court; more pertinent, they knew that settlements compromising class members’ state claims had been negotiated before they were asked to opt out. Plaintiffs, however, wanted to participate in the class, share in the fruits of the class’ settlement negotiations, and still be free to litigate their state claims.... [T]he objectors felt entitled to the bird in the hand while pursuing the flock in the bush.... If the objectors felt they could do this, that was their prerogative but in so doing they accepted the risk that they would be precluded.”

(Id. at 587, quoting *In re Corrugated Container Antitrust Litigation* (5th Cir. 1981) 643 F.2d 195, 222-223.) In other words, it was significant that the Villacres settlement language precluded effectively all claims, because the Villacres plaintiff received notice of the settlement and could have objected or opted out.

Notably, in *Shine*, supra, the settlement released

“*all claims,* demands, rights, liabilities and causes of action that were or could have been asserted (whether in tort, contract or otherwise) for violation of the Fair Labor Standards Act, the California Labor Code, the California Business and Professions Code, the Private Attorneys General Act (‘PAGA’), the applicable Industrial Welfare Commission Orders or any similar state or federal law, whether for economic damages, non-economic damages, liquidated damages, punitive damages, restitution, penalties, other monies, or other relief *based

on any facts, transactions, events, policies, occurrences, acts, disclosures, statements, omissions or failures to act pled in the Complaint,* which are or could be the basis of claims that Defendant failed to pay wages or overtime, failed to provide meal or rest breaks or compensation in lieu thereof, failed to provide timely wages and final paychecks, committed record-keeping violations, provided noncompliant wage statements, failed to reimburse for business expenses, or engaged in unfair business practices at any time on or before the date of Preliminary Approval.”

(Shine, supra, 23 Cal.App.5th at 1080 [bold and asterisks added].) The Court of Appeal concluded that the release was a general release barring “all claims” and read the bolded phrase as a limitation not on “all claims” but only as to “last antecedent,” in other words, only as to “*other relief* based on any facts [and so on] pled in the Complaint.” Given this construction, the Shine Court held that the “all claims” phrase was all-encompassing and neither tethered to nor limited by the “facts, transactions, events, policies, occurrences, acts, disclosures, statements, omissions or failures to act pled in the Complaint.” (See Id. at 1081 [Emphasis added].) As a result, the broad scope of the settlement release necessarily swept in and barred the reporting-time claims, even though they could not be based on any facts alleged in the prior complaint. It bears pointing out that Shine was decided before Amaro so the approval of the prior class action settlement likely did not require the scope of the settlement to be consistent with the allegations and claims in the operative class complaint.

Here, the release from Calderon provides:

3. Release by Participating Class

Members. All Participating Class Members release Released Parties from all claims alleged in the Operative Complaints, *and which could have been asserted based on the facts alleged in the Operative Complaints, and which were asserted leading up to and during mediation through the date of preliminary approval,* including without limitation unpaid wages, overtime, missed meal and rest periods, waiting time penalties, wage statement violations, failure to reimburse necessary business expenses, and related PAGA penalties (“Released Claims”). Participating Class Members do not

release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers' compensation, or claims based on facts occurring outside the Class Period.

(RJN, Ex. B, pp. 2-3, bold and asterisks added.)

Unlike in *Shine* or *Villacres*, this is not a general release of all claims without restriction, but is limited to claims that were not only “alleged in the Operative Complaints,” but “which could have been asserted based on the facts alleged in the Operative Complaints, and which were asserted leading up to and during mediation through the date of preliminary approval.” There is no dispute that the Calderon complaint does not assert any claims for recovery period violations nor allege any underlying facts that would support such claims. (See RJN, Ex. A, sub-exhibit B, ¶¶ 51-58.) Under these circumstances, the Court in Calderon could not have approved a class settlement that encompassed recovery period violations, without running afoul of the clear dictates of *Amaro*.

Defendant’s suggestion that the Calderon settlement be read more broadly than the allegations of its operative complaint also impairs the rights of absent class members. An absent class member like Plaintiff receiving notice of the Calderon settlement would reasonably understand that no claims for recovery periods were involved in the settlement and see no need to object and have them included in the settlement. Unlike in *Shine*, the release here is narrow and cannot be read as a general release, so claims for recovery periods were simply not “within the scope of the action” as *res judicata* would require. (See *Bucur v. Ahmad*, supra, 244 Cal.App.4th at 185.)

Defendants’ response to *Amaro* is unconvincing. While *Amaro* recognizes that a release “may refer to all claims, both potential and actual, that may have been raised in the [action being settled,]” it likewise holds that the principle contains “an implicit boundary: a court cannot release claims that are outside the scope of the allegations of the complaint.” (*Amaro*, supra, 69 Cal.App.5th at 537.)

It is undisputed that none of the allegations of the Calderon SAC concern or allude to recovery time.

While Shine does contain language attractive to Defendants' position, it does not support the idea that a class settlement of claims for "wages" in a general sense can foreclose any further claim for any kind of "wages" in a later action, particularly where the release language is as narrow as it is in Calderon. Reading Shine to support the result Defendants seek would conflict with Amaro's requirement that class settlements not exceed the factual allegations of the complaint. The Court cannot close its eyes to the fact that, unlike the situation here, the Shine Court was confronted with a prior settlement with language it found to operate as a general release, a conclusion which necessarily expanded the "scope of the action" there to encompass all conceivable claims. For these reasons, the Court will overrule the demurrer to the Fifth Cause of Action for Recovery Period Premiums.

b. Lab.
Code § 206.5

Lab. Code § 206.5 provides that "[a]n employer shall not require the execution of a release of a claim or right on account of wages due, or to become due, or made as an advance on wages to be earned, unless payment of those wages has been made" and that "[a] release required or executed in violation of the provisions of this section shall be null and void as between the employer and the employee." (Lab. Code § 206.5(a).) The Calderon SAC contains no facts concerning the practice Plaintiff alleges in this action that Defendant required employees to execute statements of hours worked that Defendants knew to be false. (Compare RJN, Ex. A, sub-exhibit B [Calderon SAC] with FAC, ¶¶ 162-164 [Tenth Cause of Action].) Under the principles of res judicata discussed above, the Amaro case, and the release language in the Calderon settlement, the Calderon judgment cannot have foreclosed claims based on facts which were not pled in the operative Calderon SAC, and the demurrer will be overruled as to this cause of action as well. The Court addresses it separately only to note Defendants' argument that the damages Plaintiff seeks to collect are the same damages sought by the substantive wage claims in Calderon; that is, according to Defendant, Plaintiff alleges here that employees were forced to sign false statements of their hours, which prevented them from knowing they had suffered wage violations, many of which were prosecuted in Calderon. It does not appear from the record that

the entirety of wage claims encompassed within these false timesheets were alleged and settled in Calderon. At a minimum, recovery period premiums were not encompassed in Calderon for the reasons discussed above, and no demurrer lies to a portion of a cause of action. (PH II, Inc. v. Superior Court (1995) 33 Cal.App.4th at 1682.) While it may be that the release in the Calderon settlement will limit the reach of this claim, the Court must nonetheless overrule the demurrer to this cause of action because there is nothing in the allegations of the complaint that indicate a complete overlap between the settled wage claims and the unsettled false statement claims.

II.

PRIVATE RIGHT OF ACTION FOR VIOLATION OF WAGE THEFT NOTICE REQUIREMENT

Defendant

contends that Labor Code § 2810.5 contains no private right of action. Noe v. Superior Court (2015) 237 Cal.App.4th 316 (Noe) contains extensive discussion of the analytical framework for determining whether a statute creates a private right of action:

A violation of a state statute does not necessarily give rise to a private cause of action. Instead, whether a party has a right to sue depends on whether the Legislature has manifested an intent to create such a private cause of action under the statute. Such legislative intent, if any, is revealed through the language of the statute and its legislative history. We consider the statute's language first, as it is the best indicator of whether a private right to sue exists. A statute may contain clear, understandable, unmistakable terms, which strongly and directly indicate that the Legislature intended to create a private cause of action. For instance, the statute may expressly state that a person has or is liable for a cause of action for a particular violation. Or, more commonly, a statute may refer to a remedy or means of enforcing its substantive provisions, i.e., by way of an action. If the statute does not include explicit language regarding a private cause of action, [but contains] provisions [that] create some ambiguity, [courts may] look ... to legislative history for greater insight.

It is well settled that there is a private right of action to enforce a statute only if the statutory language or legislative history affirmatively indicates such an intent. That intent need

not necessarily be expressed explicitly, but if not it must be strongly implied. Particularly when regulatory statutes provide a comprehensive scheme for enforcement by an administrative agency, the courts ordinarily conclude that the Legislature intended the administrative remedy to be exclusive unless the statutory language or legislative history clearly indicates an intent to create a private right of action.

(Id. at 336-337, quotation marks and bracketed citations omitted.)

It is undisputed that Labor Code § 2810.5 does not expressly provide for a private right of action, nor is there a strong implication that one exists. Plaintiff does not argue the point but simply requests that the Court not sustain the demurrer without leave because the statute “creates substantive duties” and seemingly could serve as a predicate for an Unfair Competition Law or PAGA claim.

That does not support permitting Plaintiff to maintain a standalone cause of action under Labor Code § 2810.5.

For the avoidance of doubt, Plaintiff remains free to assert Labor Code § 2810.5 as the predicate for a UCL or PAGA claim to the extent permitted by law and to seek whatever remedies may be available under those statutes. However, it appears undisputed that Labor Code § 2810.5 itself lacks a private right of action, and so the Court must sustain the demurrer to Plaintiff’s standalone cause of action based on it. Because no amendment could allow Plaintiff to assert a standalone cause of action based on Labor Code § 2810.5, the demurrer will be sustained without leave to that cause of action.

CONCLUSION

For the foregoing reasons, the demurrer is OVERRULED as to the Fifth Cause of Action for Recovery Period Premiums and the Tenth Cause of Action for Violation of Lab. Code § 206.5, and SUSTAINED without leave to amend as to the Ninth Cause of Action for Violation of Lab. Code § 2810.5. Defendant is to file an answer within 20 days of this ruling. Plaintiff to give notice.